DRAFT V2

ZKAS PROJECT

LEGAL & REGULATORY POSITION

MEMORANDUM

TO: The Maintainer, ZKas Project
FROM: ZKas Project
DATE: September 3, 2026
RE: Lawfulness and regulatory classification of the ZKas protocol and the ZKAS asset; treatment of privacy-preserving design under United States, European Union, and FATF-aligned frameworks; obligations attaching to project-operated services

Questions Presented

1. Whether the development, publication, mining, holding, and peer-to-peer use of ZKas — a proof-of-work cryptocurrency in which all balances and transfers are shielded by default — is lawful in the United States, the European Union, and FATF-aligned jurisdictions.

2. Whether ZKAS is a security or otherwise subject to issuer-level regulation, in light of its launch without any sale, premine, or allocation.

3. Whether the protocol's mandatory privacy is compatible with applicable anti-money-laundering frameworks, including FATF Recommendation 16 and Regulation (EU) 2024/1624, and what design features bear on that question.

4. Which obligations attach to services operated by the project (exchange desk, mining pool, payment gateway, hosted wallet), as distinct from the protocol itself.

Short Answers

1. Yes. No surveyed jurisdiction prohibits building, publishing, mining, holding, or transacting a privacy-preserving cryptocurrency. Regulation in this field attaches to intermediaries and service conduct, not to protocols, code publication, or private use. The

decade-long enforcement record across comparable assets (Monero, Zcash, Dash, Firo, Zano) contains no instance of developer, miner, or holder liability for the asset as such.[1]

2. No. ZKAS fails the *Howey* test at the threshold: no money was ever invested with a promoter, and no purchaser depends on the managerial efforts of others.[2] Every unit in existence was mined at open, full difficulty following a publicly announced, Bitcoin-anchored genesis whose own coinbase is provably unspendable. Under MiCA, crypto-assets created automatically as mining rewards are excluded from the offer-to-the-public regime, and there is no offeror to bear its obligations.[3] The asset is most naturally treated, in the United States, as a commodity.[4]

3. Yes, by design. ZKas implements confidentiality with owner-controlled disclosure: every wallet possesses Orchard viewing keys capable of proving its complete history to a chosen counterparty, and a consensus-enforced turnstile makes aggregate supply publicly provable at all times. This is the architecture on which Zcash has maintained listings on conservatively regulated venues for nearly a decade,[5] and it is the mechanism through which institutional information obligations can be met. The EU's 2027 restriction operates on obliged entities' handling of anonymity-enhancing assets, not on the asset, its users, or its developers.[6]

4. Ordinary financial-services obligations attach to the operated services in proportion to their function — most significantly to any facility exchanging ZKAS against other value for the public, which should be treated as licensable exchange activity and is the priority item for engagement of licensed counsel. Publication of non-custodial software, operation of network infrastructure, and the hosted non-custodial wallet do not constitute money transmission under FinCEN's published guidance.[7]

Statement of Facts

ZKas is a proof-of-work cryptocurrency derived from the rusty-kaspa codebase, producing approximately one block per second under GHOSTDAG consensus, mined with kHeavyHash and merge-minable with Kaspa. Its value layer is a mandatory Zcash-Orchard shielded pool (Halo 2 proving system, no trusted setup): amounts, senders, and recipients are encrypted on-chain, and no transparent transfer type exists. Two aggregate quantities are public by construction: each block's subsidy, verified against the emission schedule, and the turnstile invariant, which proves at every block that the shielded pool equals cumulative issuance less fees.

Mainnet has operated continuously since late July 2026. The genesis coinbase pays a one-byte `OP_FALSE` script and is therefore unspendable by any party; it embeds the hash of Bitcoin block 959,713, proving the chain was not mined in private before its announced launch. There was no token sale, no pre-allocation, and no low-difficulty period. Five percent of each block subsidy is minted, by consensus rule, to a development recipient; the remainder to the miner. The emission halves every three months from 60 ZKAS per block and settles on a two-step perpetual tail (6, then 0.6 ZKAS per block), a deliberately front-loaded schedule disclosed on the project's website.

All end-user wallet modes — hosted web, self-hosted, desktop, mobile, and paper — are non-custodial: seeds are generated and retained on user devices, and the wallet daemon receives a full viewing key only, which permits scanning and proving but not spending. A custodial mode of the wallet daemon exists as an operator feature for pools and payout services. The project's public materials disclose the emission schedule, the custody model, the absence to date of an independent security audit, and the dated history of the pre-launch test period.

The maintainer additionally operates network and market infrastructure, including public nodes and a seeder, a block explorer, the hosted wallet front-end, a mining pool with a direct-payout mode, a conversion desk exchanging ZKAS against Kaspa with published aggregate reserves, and a merchant payment gateway.

DISCUSSION

I. Financial privacy is a lawful objective, and its cryptographic implementation is protected activity.

The premise of this memorandum is unremarkable as a matter of law, however novel the engineering: persons may lawfully keep their financial affairs confidential. Cash is anonymous, bearer, and lawful in every surveyed jurisdiction; bank secrecy obligations make confidentiality the default of the regulated system itself; and in the European Union, private life and the protection of personal data are fundamental rights.[8] A fully transparent ledger — which broadcasts every counterparty's balance and complete transaction history, worldwide and permanently — is the historical anomaly. Union data-protection law commands data minimisation and protection by design and by default;[9] a ledger that writes no personal transaction data at all conforms to those commands in a way a transparent ledger structurally cannot.

The publication of privacy-preserving financial software is likewise on protected ground. FinCEN's 2019 guidance states that providers of unhosted wallet software, and "anonymizing software providers," are not money transmitters.[7] The Fifth Circuit has held that immutable smart-contract code is not the "property" of any person amenable to blocking sanctions, and the designations there at issue were subsequently withdrawn.[10] The Department of Justice has directed prosecutors, as a matter of policy, not to pursue platforms and neutral infrastructure for the conduct of end users.[11] The prosecutions that proceeded in this field — and this memorandum does not minimize them — concerned the operation of custodial mixing services and marketing directed at illicit custom;[12] they confirm, rather than undermine, the line on which ZKas is built: code and confidentiality on one side; custodial service conduct and evasion marketing on the other.

II. The asset: absent any offering, issuer-level regimes do not reach ZKAS.

A. United States

An "investment contract" requires the investment of money in a common enterprise with a reasonable expectation of profits derived from the entrepreneurial or managerial efforts of others.[2] Each element fails on these facts. No person has ever paid the developers — or anyone — for ZKAS in a primary transaction: there was no sale of any kind, and the genesis output is incapable of being spent. Supply arises exclusively from open mining under fixed consensus rules at full difficulty from the first block, on terms identical for all participants and verifiable against the Bitcoin-anchored launch announcement. The asset transfers value and settles without any continuing managerial act of the developers. The development allocation does not alter the analysis: it is compensation minted contemporaneously, block by block, by operation of published consensus code — not a pre-existing stake sold or promoted to investors — and it is materially smaller than the founders' allocation under which the leading precedent asset was listed and supervised for years without securities treatment.[13] The natural federal classification is that of a commodity.[4]

B. European Union

MiCA's issuer obligations attach to an identifiable offeror or person seeking admission to trading. The Regulation excludes from the offer regime crypto-assets "automatically created…as a reward for the maintenance of or the validation of transactions,"[3] a description ZKAS satisfies in terms. There being no offeror, no white-paper or notification obligation is identified for the asset itself; MiCA's relevance is confined to any future crypto-asset service providers handling ZKAS, addressed in Part IV.

III. Mandatory privacy and the anti-money-laundering frameworks.

A. The frameworks regulate information available to intermediaries; ZKas supplies it by owner-controlled disclosure.

The FATF standards, Recommendation 16 among them, impose obligations on virtual-asset service providers, and the recurring difficulty with privacy-preserving assets is practical: the intermediary cannot obtain the originator and beneficiary information the rules require. ZKas's architecture answers the difficulty at the protocol layer. Every account possesses full viewing keys disclosing its complete history — incoming and outgoing — to any counterparty of the owner's choosing, without conveying spending authority; per-relationship and per-payment disclosure follows the practice established for shielded Zcash and accepted by regulated venues, including a New York trust company supervised under the most conservative listing regime in the United States.[5] Aggregate integrity is stronger than in transparent systems: the turnstile proves total supply unconditionally, whereas a transparent ledger can prove each address yet cannot prove that a disguised premine is not distributed among them.

The comparative record confirms that disclosure capability, not privacy itself, is the operative regulatory variable. Monero — mandatory privacy without provable outgoing history — remains lawful to develop, mine, and hold in every surveyed jurisdiction, but has been progressively excluded from regulated venues. Zcash — optional privacy with viewing keys — has retained regulated listings for nearly a decade. Dash, Grin, Beam, Firo, and Zano occupy intermediate positions; in no case has any of their developers, miners, or holders faced liability for the asset as such.[1] ZKas combines the always-on confidentiality that gives a shielded pool its full anonymity set with precisely the disclosure architecture that the listed precedents show to be viable.

B. Regulation (EU) 2024/1624

Article 79 of the Anti-Money-Laundering Regulation, applicable from July 2027, prohibits *obliged entities* from maintaining anonymous accounts and from servicing anonymity-enhancing coins. Three observations govern its application here. First, the provision operates on institutions; it does not prohibit the asset, its use, its mining, or the publication of its software. Second, its object is information unavailable to the institution; the implementing technical standards remain to be adopted, and an asset whose every customer can furnish a complete, cryptographically verified account history stands on materially different footing from one that cannot — a distinction the project intends to present in the standards process, supported by shipped disclosure tooling. Third, even under the most restrictive reading, the consequence is the scope of regulated venue access within the Union — a commercial constraint the project plans for — and not the lawfulness of the protocol or its use.

IV. Project-operated services: where obligations genuinely attach, and their disposition.

The obligations relevant to this project arise from service conduct, and would arise identically for services handling a transparent asset. Their disposition is as follows.

Activity	Regulatory character	Disposition
Publication of node, wallet, and signer software	Not money transmission[7]	Continue; maintain separation from service operations
Nodes, seeder, explorer	No value handled; no regulated activity identified	Continue; data-protection housekeeping (logs, retention)
Hosted wallet (non-custodial)	Unhosted-wallet analysis; daemon cannot spend	Continue; viewing keys handled as sensitive personal data
Mining pool	Fact-dependent; custody of rewards is the variable	Prefer the direct-payout mode already built; minimize balances
Conversion desk (ZKAS/KAS)	Exchange of value for the public; licensable activity in most jurisdictions	**Priority engagement of licensed counsel**: register, restructure, geo-fence, or wind down; interim controls (screening, records, scale limits)
Merchant gateway	Processor analysis; control of funds is the variable	Settlement-flow review with counsel; watch-only design limits exposure

The structural recommendation is separation: protocol stewardship in a dedicated non-profit vehicle; each value-touching service in its own entity with its own compliance posture; the development fund's disposals routed through third-party venues. The project is early enough to effect this cleanly, and doing so preserves for the protocol the protections described in Part I regardless of the fortunes of any service.

V. The development fund.

The fund's receipts are fixed by consensus at five percent of a public schedule and are therefore exactly computable by any person; its balance and outflows are shielded, as is every account on the chain. Three measures are recommended and in progress: contemporaneous tax records of rewards as received, in the beneficiary's jurisdiction; publication of a short governance policy (control, purposes, disposal venues); and a deliberate decision on voluntary publication of the fund's viewing key, which would render it permanently and publicly auditable at no protocol cost. The Zcash founders' allocation — four times this fund's share, payable to identified private investors, and contemporaneous with regulated listings throughout — supplies the measure of proportion.[13]

VI. Disclosure discipline.

The project's public materials state the front-loaded emission plainly; describe the two-step tail exactly as the consensus code implements it; disclose the absence to date of an external audit, with an independent review of the novel Orchard-under-GHOSTDAG core planned; document the custody model accurately; and date the pre-launch test period so that stale copies self-identify. Three standing rules are observed: no investment or return language; every verifiable claim linked to its verification; and privacy described as confidentiality subject to owner-controlled disclosure, never as untraceability. These practices are not ornamental; on the enforcement record surveyed in Part I, they are the perimeter.

CONCLUSION

The ZKas protocol, its software, and the ZKAS asset are lawful to develop, publish, mine, hold, and use in the surveyed jurisdictions. No offering having occurred, issuer-level regimes are not engaged. The protocol's mandatory confidentiality is paired, by construction, with the owner-controlled disclosure mechanisms on which the viable regulatory settlements for privacy-preserving assets have been built, and the aggregate-supply guarantee exceeds what transparent ledgers provide. The obligations that exist are conventional, are confined to identifiable operated services — foremost the conversion desk, for which licensed counsel should now be engaged — and are the subject of the workplan set out above. Subject to that workplan, the project asks no indulgence of the law: applied as written — to conduct rather than code, to services rather than speech — the law sustains ZKas's position.

Respectfully submitted,

ZKas Project
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[1] The survey covers the enforcement record, 2014–2026, respecting Monero, Zcash, Dash, Grin, Beam, Firo, and Zano across the United States, the European Union and its Member States, the United Kingdom, Japan, South Korea, Singapore, and Switzerland. Venue-level actions (exchange delistings; exclusion from licensed Japanese and Korean venues) are numerous; asset-level prohibitions applicable to developers, miners, or holders were not identified.

[2] *SEC v. W.J. Howey Co.*, 328 U.S. 293, 298–99 (1946); *United Housing Found., Inc. v. Forman*, 421 U.S. 837, 852–53 (1975).

[3] Regulation (EU) 2023/1114 of 31 May 2023 (MiCA), art. 4(3)(a) and recital 26 (crypto-assets automatically created as a reward for the maintenance of the distributed ledger or the validation of transactions).

[4] *CFTC v. McDonnell*, 287 F. Supp. 3d 213, 228 (E.D.N.Y. 2018); 7 U.S.C. § 1a(9).

[5] Zcash (ZEC) has been listed by New York–chartered, NYDFS-supervised entities since 2018, with shielded-address support offered against per-account viewing-key disclosure.

[6] Regulation (EU) 2024/1624 of 31 May 2024, art. 79 (application from 10 July 2027); the prohibition is addressed to obliged entities within the meaning of art. 3.

[7] FinCEN, *Application of FinCEN's Regulations to Certain Business Models Involving Convertible Virtual Currencies*, FIN-2019-G001 (May 9, 2019), §§ 4.2, 4.5.1.

[8] Charter of Fundamental Rights of the European Union, arts. 7, 8.

[9] Regulation (EU) 2016/679 (GDPR), arts. 5(1)(c), 25.

[10] *Van Loon v. Dep't of the Treasury*, 118 F.4th 331 (5th Cir. 2024); OFAC removal of the associated designations, March 2025.

[11] Memorandum of the Deputy Attorney General, *Ending Regulation by Prosecution* (Apr. 7, 2025).

[12] *E.g.*, the 2024–2025 proceedings concerning the Samourai Wallet operators (S.D.N.Y.) (18 U.S.C. § 1960) and the Netherlands proceedings concerning a Tornado Cash developer (Rb. Oost-Brabant, 14 May 2024) — each involving operated services and promotion, on the government's theory, directed at illicit funds.

[13] The Zcash "Founders' Reward" allocated twenty percent of block rewards during the first four years to founders, employees, and pre-launch investors; ZKas's development allocation is five percent, attached to no sale and no investor.